

Standard Chartered Plc (HK) (2888)

1Q26: Revenue/PBT beat; Middle East overlay built;
ROTE jumps to 17.4% - reiterate OW

STAN 1Q26 - strong beat. Revenue and clean PBT beat company-compiled consensus by 6% and 14%, respectively. The outperformance was underpinned by resilient NII (-3% q/q but 3% ahead of consensus), supported by loan and deposit growth, and robust non-NII income driven by record Wealth income (+32% y/y ccy) with strong net new money inflow (\$18bn), Global Banking (+19% y/y ccy) and robust flow income with FM (+17% y/y ccy). On the downside, impairment charges of \$296mn were 3% above consensus, including a \$190mn management overlay related to the Middle East conflict. CET1 was 40bps below consensus but remains within the target range. Overall, STAN delivered 31% y/y growth in 1Q26 EPS, with ROTE up 260bps y/y to 17.4%, a solid set of results, in our view. We also welcome the more granular Middle East disclosure, which outlined c\$40bn of exposures (c6% of Group exposures or c4% of Group assets), with over 90% sitting within CIB weighted towards sovereign-linked counterparties; of which >75% is investment grade, with limited sector exposure to CRE and hospitality. We expect low-single-digit upgrades to consensus EPS for 2026-2028E. We reiterate our OW rating.

- **What we like:** 1) NII of \$2.87bn was 3% above consensus and -3% q/q driven by lower rates partly offset by volume growth and mix benefit from client activity. AIEAs were +1% q/q, with underlying loans +3.4% q/q, driven by CIB loans +\$7.5bn q/q, while WRB loans were +\$2.3bn q/q, and underlying deposits were +3.1% q/q, driven by both CIB (+\$9.2bn) and WRB deposits (+\$6.9bn q/q), especially CASA deposits. 2) Other income of \$3.0bn was 8% above consensus, mainly driven strong growth in Wealth Solutions (+32% y/y), Global Banking (+19% y/y) and record flow income for FM (+17% y/y), benefitting from continued investments in electronic platforms as well as increased client activity. Total income was \$5.9bn and 6% above consensus. 3) Costs of \$3.14bn were in line with consensus, driving PPOP of \$2.8bn, 13% above consensus. 4) PBT of \$2.45bn, 14% above consensus, with annualized 1Q26 statutory ROTE at 17.4%, up 260bps y/y, and 1Q26 EPS up 31% y/y.
- **What we don't like:** 1) Credit impairments of \$296m (41bps annualized credit cost on net loans) were 3% above consensus and included \$190m of post model adjustments (PMA) related to the Middle East conflict (for changing probability weights and a new Middle East downside scenario) and overlays for the petrochemical sector and potential sovereign downgrades; 2) CET1 of 13.4% was 40bps below consensus with RWAs 2% above consensus and +3% q/q driven by asset growth and market risk RWAs; and 3) TNAV/sh was \$17.20 vs consensus of \$17.43.

Overweight

2888.HK, 2888 HK

Price: HK\$187.20

29 Apr 2026

Price Target: HK\$270.00

PT End Date: 31 Dec 2026

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- **Outlook & Guidance: 2026 Guidance unchanged:** **1)** 2026 statutory RoTE guidance of >12% (consensus 12.5%). **2)** Reported income growth to be around the bottom end of 5-7% (const-fx base of c\$20.8bn, ex notables), implying 2026E revenues of \$21.8bn (vs consensus \$21.95bn), with NII flat (consensus in line). **3)** Reported costs to be broadly flat y/y (const-fx base of c\$13.2bn, ex notables) with consensus in line.
- **Performance by key product segments (const-FX) in 1Q:** Global Markets flat y/y (1% below consensus) with Flow income (+17% y/y) offset by episodic income (-31% y/y against a strong Q1'25). Global Banking +19% y/y (12% above consensus) with Lending & Fin Solutions +14% y/y and Capital Markets & Advisory +58% y/y. Wealth +32% y/y (13% above consensus) with \$18bn net new money or 16% of AUM annualized with \$12bn in Wealth (20% of Wealth AUM annualized).
- **Middle East exposure.** STAN's Middle East portfolio represents ~6% of total Group exposures (\$670bn as of 1Q26, includes CIB net nominal [including Treasury] and WRB [End-period net receivables]) or ~4% of Group total assets, with over 90% sitting in CIB and weighted toward sovereign-linked corporates, sovereigns, and financial institutions, of which more than 75% is investment grade. The UAE accounts for 53% of the Middle East book, followed by Saudi Arabia (21%) and Qatar (13%). WRB exposure is less than 10% of the Middle East total, with 85% in the UAE and ~85% through secured mortgages and wealth lending. In 1Q26, STAN took \$190m of precautionary management overlays and post-model adjustments related to the Middle East conflict (~21bps loan-loss rate), including a new "Sustained Middle East Conflict" (SMEC) downside scenario that assumes oil peaking at ~\$135/barrel and remaining elevated for two years, alongside overlays for the petrochemical sector and potential sovereign downgrades. Despite the overlay build, management noted no material credit deterioration in the quarter, with the portfolio being actively managed and the bank remaining watchful of the external environment.
- **Hong Kong business review.** STAN's HK revenue increased by 10% y/y in 1Q26, decelerating from 19% y/y in 4Q25. Expense only up 2% y/y, leading to positive jaws and bringing CIR down -3pcts y/y to 49%. As a result, PPOP grew +16% y/y (vs +55% y/y in 4Q25). Loan impairment charges dropped by -18% y/y, therefore, credit cost on an annualized basis edged down -9bps y/y to 31bps in 1Q. Loan growth of +3% q/q (+8% y/y) was ahead of Group loan trend (+2% q/q or +4% y/y), while deposit remained flat at 0% q/q (or +7% y/y).
- **HK CRE – small marginal changes, with increase in secured loan ratio:** In 1Q26, HK CRE exposure remained flat q/q at US\$1.5bn and accounted for 0.5% of total loan book. 94% of the exposures are performing, and there are no changes to stage 3 exposures vs in 4Q25, with stage 3 loan ratio staying flat q/q at 6%. We note that 88% of exposure are secured (vs 86% in 4Q25) with average LTV ~50%. Management has reduced the overlay by \$2mn q/q to \$45mn, due to repayments and upgrades.

- **Likely changes to consensus:** We expect low-single-digit% upgrades to consensus EPS 26-28E expectations driven by stronger revenues led by Wealth, with no change to absolute cost guidance for 2026E.
- **HK peer read-across – positive:** We see these results as a positive read-across for HSBC's Wealth revenues with StanChart Wealth income growth of +32% y/y in 1Q alongside net new money of \$18bn (inc. \$12bn in Wealth) at c16% inflow rate in 1Q.
- **Stock price reaction:** We expect stock to trade up post 1Q26 results.
- **Conference call details:** 08:00 UK/ 15:00 HK on Thursday, 30 April 2026. You will be able to access the presentation via [webcast link](#) here.

Table 1: StanChart 1Q26 results summary

	1Q25	4Q25	1Q26E	1Q26 Cons	1Q26A	A vs Cons.	A vs JPMe	Y/Y	Q/Q
NII	2,797	2,948	2,774	2,781	2,869	3%	3%	3%	-3%
Other Income	2,582	1,865	2,786	2,805	3,033	8%	9%	17%	63%
Revenue	5,379	4,813	5,560	5,586	5,902	6%	6%	10%	23%
o.w. Transaction Services	1,529	1,521	1,514	1,505	1,512	0%	0%	-1%	-1%
o.w. Global Banking	546	547	586	594	663	12%	13%	21%	21%
o.w. Global Markets	1,183	660	1,191	1,202	1,190	-1%	0%	1%	80%
o.w. Wealth Solutions	778	677	915	921	1,043	13%	14%	34%	54%
Operating expenses	-3,046	-3,754	-3,142	-3,142	-3,140	0%	0%	3%	-16%
Pre-provision operating profit	2,333	1,059	2,418	2,444	2,762	13%	14%	18%	161%
Loan impairments	-217	-148	-317	-287	-296	3%	-7%	36%	100%
Profits pre-Other impairments/Assocs	2,116	911	2,101	2,157	2,466	14%	17%	17%	171%
Other impairments	-15	-24	-7	-20	-2	-90%	-71%	-87%	-92%
Profit from associates	2	-27	1	7	-14	-300%	-1500%	-800%	-48%
Clean Pretax profits	2,103	860	2,095	2,144	2,450	14%	17%	17%	185%
Total one-offs	0	-46	0	0	0				
Pretax profits	2,103	814	2,095	2,144	2,450	14%	17%	17%	201%
RoTE	14.8%	4.8%	13.1%	8.5%	17.4%				
TNAV/s	\$15.62	\$17.30	\$17.29	\$17.43	\$17.20	-1%	-1%	10%	-1%
CET1 ratio	13.8%	14.1%	13.7%	13.8%	13.4%				
RWAs	254	258	260	262	266	2%	2%	5%	3%
Loans (ex FVTPL)	282	287	290	290	294	1%	1%	4%	2%
Customer deposits	491	530	540	539	542	1%	0%	10%	2%
SBB	0	1500	0	0	0				

Source: J.P. Morgan estimates, Company data.

Table 2: StanChart 1Q26 product revenue

US\$ mn	1Q25	4Q25	1Q26E	1Q26 Cons	1Q26A	A vs Cons.	A vs JPMe	Y/Y	Q/Q
Transaction Services	1,529	1,521	1,514	1,505	1,512	0%	0%	-1%	-1%
Payments and Liquidity	1,063	1,064	1,032	1,033	1,037	0%	0%	-2%	-3%
Securities Services	151	173	157	163	177	9%	13%	17%	2%
Trade & Working Capital	315	284	324	309	298	-4%	-8%	-5%	5%
Banking	546	547	586	594	663	12%	13%	21%	21%
Lending & Financial Solutions	450	483	482	493	511	4%	6%	14%	6%
Capital Market & Advisory	96	64	105	101	152	50%	45%	58%	138%
Markets	1,183	660	1,191	1,202	1,190	-1%	0%	1%	80%
Wealth Solutions	778	677	915	921	1,043	13%	14%	34%	54%
Investment Products	560	553	675	677	778	15%	15%	39%	41%
Bancassurance	218	124	240	239	265	11%	11%	22%	114%
CCPL & Other Unsecured Lending	269	320	241	286	296	3%	23%	10%	-8%
Deposits & Mortgages	1,022	1,065	1,054	1,034	1,017	-2%	-4%	0%	-5%
Treasury & Other	53	23	60	55	181	229%	204%	242%	687%
Total underlying operating income	5,380	4,813	5,560	5,597	5,902				

Source: J.P. Morgan estimates, Company data.

Table 3: 1Q26 Hong Kong business results

Hong Kong (US\$ mn)	1Q25	4Q25	1Q26	Q/Q	Y/Y
Operating income	1,374	1,352	1,514	12%	10%
Operating expenses	(585)	(651)	(596)	-8%	2%
PPoP	789	701	918	31%	16%
Loan impairment	(89)	(16)	(73)	356%	-18%
Other impairment	(5)	0	0	NA	-100%
Associates and JV	0	0	0	NA	NA
Underlying PBT	695	685	845	23%	22%
Total Assets	203,565	217,291	222,355	2%	9%
Customer loans	86,200	89,641	92,764	3%	8%
Customer deposits	175,766	187,753	188,111	0%	7%
Average customer loans	86,117	90,462	91,203	1%	6%
Credit Costs	0.41%	0.07%	0.32%	25 bps	-9 bps
Cost/ income ratio	43%	48%	39%	-878 bps	-321 bps
Loan to deposit ratio	49%	48%	49%	157 bps	27 bps

Source: J.P. Morgan, Company data.

Table 4: StanChart HK CRE exposure summary

In US\$ mn	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26
HK CRE exposure	2,600	2,200	2,100	1,800	1,500	1,500
Stage 1 ratio	79%	64%	65%	53%	62%	NA
Stage 2 ratio	21%	34%	31%	42%	32%	NA
Stage 3 ratio	0%	2%	4%	5%	6%	6%
HK CRE exposure as % of total	0.9%	0.8%	0.7%	0.6%	0.5%	0.5%
Provisions	58	82	116	134	NA	NA
NPL coverage ratio	NA	186%	138%	149%	NA	NA
LLR / Loans	2.2%	3.7%	5.5%	7.4%	NA	NA
Unsecured %	18%	17%	19%	11%	14%	12%
Secured %	82%	83%	81%	89%	86%	88%
Average LTV of secured loans	<40%	~40%	<50%	<50%	<50%	~50%

Source: Company data.

Investment Thesis

We view StanChart as undervalued relative to the sector/EM peers at 1.2x PTNAV 27E with significant earnings growth potential supported by structural growth drivers and relatively high capital return. With the Group's 24-26E targets already achieved by FY25 across revenues and distributions, we now forecast ~5% revenue growth CAGR across '25-28E driven by non-NII in '26E, and broadening out to both NII/non-NII in outer years. We see this led by Wealth (driven by Affluent segment opportunities), Financial Markets (alongside cross-border income) and Banking. We expect NII to be flat in FY26 y/y due to lower rates and pass throughs offset by volume growth. We expect cost growth at ~3.5% CAGR for '25-28E as we expect growing investments in the future to capitalize on productivity and revenue opportunities, with positive operating leverage annually and the CIR to decline towards mid-50s. Overall, we expect stated ROTE to grow to ~15%, alongside a 35% dividend payout ratio and \$2bn/y buybacks, offering a total yield of 7-8%/y. Maintain OW.

Valuation

Our Dec-26 PT of HK\$270 is derived from our DDM analysis with NAV discounted back to Dec-26 from FY28E and a fair P/B of 1.5x. Our key assumptions are a normalized ROE of 11.9% and a cost of capital of 9.3%.

Risks to Rating and Price Target

The key downside risks to our rating and price target include:

- **Macroeconomic risks:** Being an EM-focused bank, StanChart is exposed to general macroeconomic risk in EM such as slowdowns, inflationary pressures, depreciation of EM currencies and cross-border and political risks. Potential weakness in China macro and regional sovereign continue to be risks towards revenues and impairments in the near term, as well as geopolitical tensions creating a potential headwind.
- **Provisioning outlook:** We expect provisions to grow to above normalized levels by 2025 given growing pressures in the economic environment. An increase or decrease in provisions as a result of the economic outlook or with regards to specific cases poses a risk to our forecasts.
- **Regulatory uncertainty:** Standard Chartered remains exposed to the changes in the regulatory environment in the UK with capital requirements being set by the PRA in the UK. While StanChart has limited UK exposure, the group is still subject to regulatory changes such as Basel 4 and BoE stress tests.

Other Companies Discussed in This Report (all prices in this report as of market close on 29 April 2026, unless otherwise indicated)

HSBC Holdings plc (0005)(0005.HK/HK\$141.00/OW)

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Standard Chartered Plc (HK) (2888) (2888.HK, 2888 HK) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 24, 2002. All share prices are as of market close on the previous business day.

Date	Rating	Price (HK\$)	Price Target (HK\$)
07-Jul-23	OW	66.55	83
01-Aug-23	OW	74.25	90
07-Sep-23	OW	69.20	91
27-Oct-23	OW	59.75	83
16-Jan-24	OW	61.55	79
18-Jan-24	OW	57.35	78
28-Feb-24	OW	63.35	80
10-Apr-24	OW	68.25	82
03-May-24	OW	71.95	86
31-Jul-24	OW	76.90	94
04-Dec-24	OW	96.80	112
17-Feb-25	OW	108.20	120
24-Feb-25	OW	116.00	135
22-Jul-25	OW	141.30	148
04-Aug-25	OW	141.30	162
19-Oct-25	OW	142.00	168
03-Nov-25	OW	157.80	190
05-Feb-26	OW	203.40	265
01-Mar-26	OW	198.50	270

HSBC Holdings plc (0005) (0005.HK, 5 HK) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Dec 31, 2000. All share prices are as of market close on the previous business day.

Date	Rating	Price (HK\$)	Price Target (HK\$)
07-Jul-23	N	61.00	66
07-Aug-23	OW	63.85	80
16-Oct-23	OW	62.50	81
31-Oct-23	OW	57.20	83
17-Jan-24	OW	59.10	81
22-Feb-24	OW	60.25	74
10-Apr-24	OW	63.90	78
02-May-24	OW	67.00	83
06-Aug-24	OW	62.05	86
19-Nov-24	OW	70.55	90
17-Feb-25	OW	84.50	95
20-Feb-25	OW	88.40	108
20-Mar-25	OW	89.75	115
05-May-25	OW	86.20	108
22-Jul-25	OW	98.45	118
01-Aug-25	OW	96.15	122
30-Oct-25	OW	106.50	132
02-Dec-25	OW	110.50	138
05-Feb-26	OW	139.00	165
18-Mar-26	OW	124.80	180

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